

Scarce power helps IREN only while pricing holds. At ~\$42, the bigger risks are pricing, GPU lives and funding the build, not the Texas queue.

Does scarce powered capacity help or hurt IREN? It helps while pricing holds, and the Texas queue costs little. What matters more is how much of today’s pricing lasts, how long GPUs keep earning, and whether project finance keeps pace with the build.

01 · FINDINGS

- 1 **The price assumes today’s conditions persist.** The model yields ~\$46 a share if pricing, utilization and financing hold, against ~\$42; today’s pricing is only ~1% above breakeven.
- 2 **Small moves close the gap.** ~4% of the pricing gain reversing, GPUs lasting ~4.8 years, or a cost of capital near ~11% each reaches ~\$42 alone.
- 3 **The Texas queue is the smaller risk.** A one-year delay costs ~\$4 a share at Sweetwater, about the same at existing sites, where a Childress permit is reportedly caught in the state’s permit freeze.
- 4 **Funding is the bigger test, because the build depends on it.** ~\$55bn of cash burn; project finance must rise from ~41% of FY27 capex to ~77%. Without the 2028+ build, value falls to ~\$29; the corporate share means ~34% more shares, potentially.
- 5 **What to watch:** pricing at renewal, how long GPUs keep earning, 2028 contract signings, and the Batch Zero verification outcome.

02 · CHIEF ASSUMPTIONS

What the model assumes, its basis, and value per share after one plausible move, the rest as modeled (~\$46).

ASSUMPTION	ASSUMED	BASIS	VALUE PER SHARE IF...
Contract pricing	~\$20m/MW-IT, held	IREN FY26 results	~\$24 if a quarter of the gain reverses
GPU economic life	5 years	IREN depreciation life (10-K)	~\$37 at 4½ years; ~\$59 at 6
Cost of capital	~10.5%	Build-up: risk-free, equity and execution premia	~\$34 at ~11.5%
Utilization	95%	2026 capacity ‘largely sold out’	~\$32 at 90%
Company-wide margin	~80%	IREN: ~85% Microsoft project margin	~\$29 at ~75%
2028+ build	0.20 of pipeline	Consensus revenue (secondary)	~\$58 at 0.39; ~\$29 at none
FY27 capex	\$25bn, incl. ~\$5.7bn site work	Guidance floor; ‘early work for 2028 projects’	~\$58 without the site line
Corporate funding	43% equity, 57% convertibles	FY26 cash-flow statement; May 2026 terms	~\$43 if new equity is priced 20% below today’s
Terminal value	~88% of value	Growth earns ~11%, the model’s return on a new MW	Value rests on the long run

Not modeled: the SG&A base (held at ~\$0.7bn, unverified), customer credit risk, undisclosed Microsoft escalators, termination if Horizons slip, and final Batch Zero allocations.

Methods. Value per share after dilution from the IREN Absolute Valuation Model, fully recalculated at every setting. Payback on IREN’s definition (GPU and ancillary capex over contracted revenue less direct costs): ~2 years on recent contracts, ~3.5 on Microsoft; the pricing gain reverses at signing and renewal only. Breakeven: price at which a new MW earns the ~10.5% cost of capital after tax, overhead and stock compensation. GPUs are paid at delivery and shells over the seven quarters before, so spend before 30 June matches the balance sheet and the 10-K’s ~\$13.8bn of commitments falls in the forecast. Funding gaps after usable cash are discounted at the cost of equity and raised in FY26’s mix, convertibles on IREN’s May 2026 terms. Sources: IREN Form 10-K FY2026; FY26 results and call (27 Aug 2026); IREN 8-Ks; ERCOT; ChartMill and TIKR consensus (secondary). IREN at ~\$42 (2 Oct 2026 close). Not affiliated with IREN. The author holds no position in IREN.

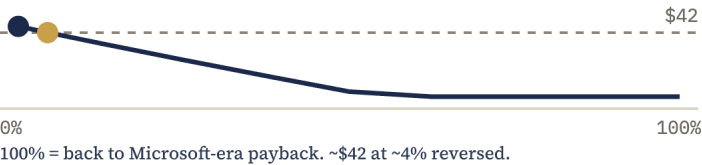
The margin for error is thin: ~4% of the pricing gain reversing, GPUs lasting ~4.8 years, or a cost of capital near ~11% each takes value to ~\$42.

On IREN’s own accounting, today’s ~\$20m a year per megawatt is only ~1% above breakeven. With the build funded on the terms IREN has disclosed, the model gives ~\$46 a share if today’s pricing, utilization and financing persist, and a small move in any one assumption closes the gap to ~\$42.

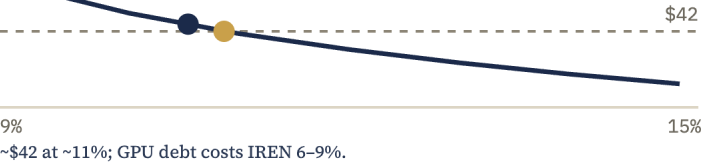
01 · WHAT ~\$42 ALREADY ASSUMES

Value per share, \$0–80 on every chart, as one assumption moves with the rest as modeled. Moving right is worse. Navy dot = today’s conditions persisting, ~\$46; gold dot = where value reaches ~\$42 (dashed).

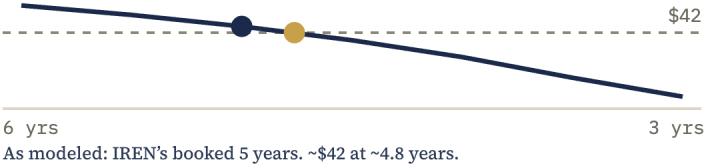
PRICING GAIN REVERSED



COST OF CAPITAL (WACC)



GPU ECONOMIC LIFE



UTILIZATION



02 · TWO AT ONCE

Value per share by pricing gain reversed and GPU life. Shaded = at or above ~\$42.

GPU LIFE	0%	10%	20%	30%	40%	50%
6 years	~\$59	~\$50	~\$42	~\$33	~\$24	~\$16
5.5 years	~\$53	~\$44	~\$35	~\$27	~\$18	~\$10
5 years	~\$46	~\$37	~\$28	~\$20	~\$11	~\$3
4.5 years	~\$37	~\$28	~\$20	~\$11	~\$3	<\$0
4 years	~\$26	~\$17	~\$9	~\$1	<\$0	<\$0
3.5 years	~\$12	~\$4	<\$0	<\$0	<\$0	<\$0

Each half-year of GPU life is worth roughly a tenth of the pricing gain. At IREN’s booked 5 years only ~4% can reverse before value reaches ~\$42; at 4.5 years or less, none; at 6, about a fifth.

Also enough on its own: a company-wide EBITDA margin near ~79% (against ~80%), a build cost ~2% higher per MW, or building none of the 2028+ pipeline (~\$29). **Not enough on their own:** the convertible market closing (~\$46); terminal growth adds under ~\$1. **Texas delay:** a one-year Sweetwater slip costs ~\$4 a share, two years ~\$7.

~\$46/share

IF TODAY’S PRICING, UTILIZATION AND FINANCING PERSIST

~4%

OF THE PRICING GAIN REVERSING REACHES ~\$42 ALONE

~4.8 yrs

GPU LIFE THAT REACHES ~\$42 ALONE; IREN BOOKS 5

~11%

COST OF CAPITAL THAT REACHES ~\$42 ALONE; ~10.5% AS MODELED

~94%

UTILIZATION THAT REACHES ~\$42 ALONE; 95% AS MODELED

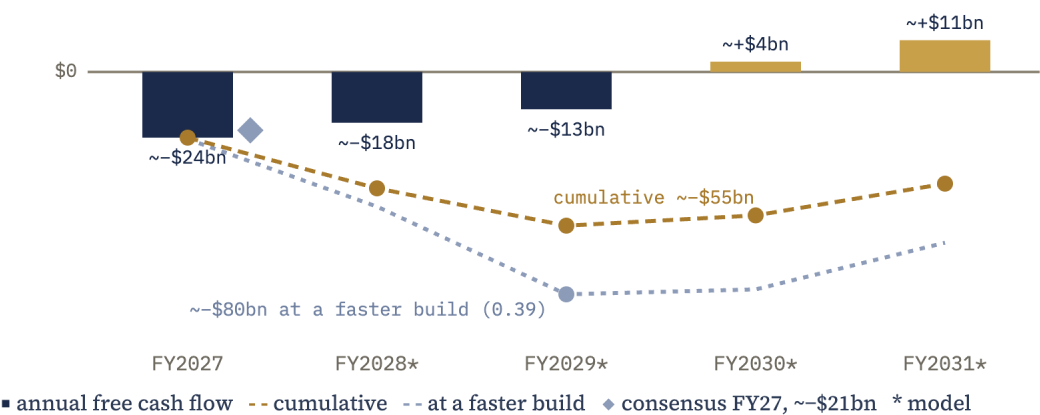
IREN at ~\$42 (2 Oct 2026 close). Value per share after dilution, IREN Absolute Valuation Model, fully recalculated at every point shown; methods and chief assumptions on slide 1. “<\$0”: the model’s equity value is below zero. Sources: IREN Form 10-K FY2026; FY26 results (27 Aug 2026); IREN 8-Ks, 3 Nov 2025 and 14 May 2026. Not affiliated with IREN. The author holds no position in IREN.

Texas has made IREN wait, pending verification. The real test is funding ~\$55bn of cash burn, which depends on project finance keeping pace with contracts.

ERCOT paused energization of new large data center loads on 3 August pending verification (report due December); on 21 September Texas froze state permits for data center projects, reportedly including a pending Childress application. The model’s build needs ~\$23bn of peak GPU debt and ~\$13bn of corporate funding in present value.

01 · THE CASH BURN

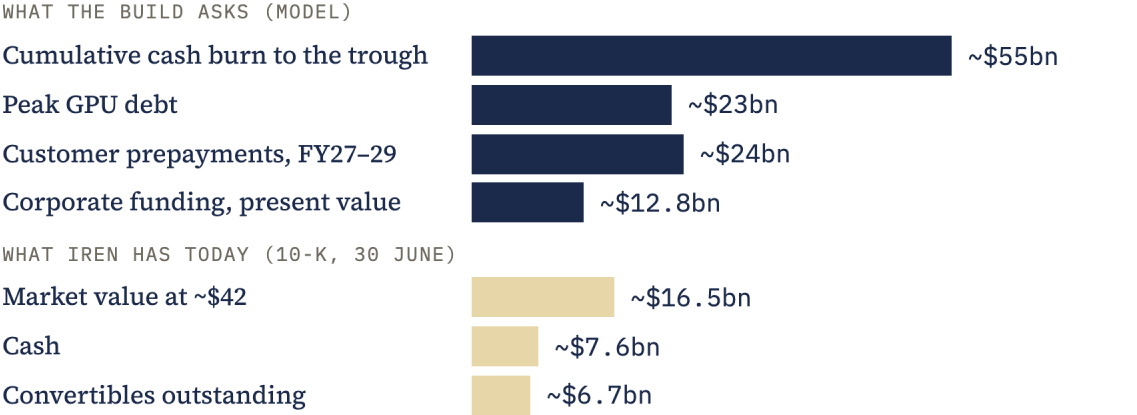
Unlevered free cash flow by fiscal year, and the cumulative burn.



IREN burns ~\$55bn before free cash flow turns positive in FY2030, recovering it around FY2035. Project finance covers ~41% of FY27 capex on management’s numbers, against ~77% assumed for FY28–29.

02 · CAPITALIZATION AND CAPACITY

What the model’s build asks for, against what IREN has today, on one \$bn scale.



The need is ~3× today’s market value, and most of it has to come from project-level debt and customer prepayments. Raising the corporate share at FY26’s mix means ~132m new shares (~34% of today’s count) plus ~\$7bn of convertibles converting at ~\$55.

3 Aug

ERCOT PAUSES ENERGIZATION OF LARGE DATA CENTER LOADS

~\$4/share

ONE-YEAR SWEETWATER DELAY AT TODAY’S PRICING

~\$3–8bn

FY27 CAPEX STILL TO FUND ON MANAGEMENT’S NUMBERS

~\$23bn

PEAK GPU DEBT IN THE MODEL, FY2030; ~1.4× TODAY’S MARKET VALUE

~34%

NEW SHARES AT FY26’S FUNDING MIX, AGAINST TODAY’S COUNT

Sources: ERCOT Board, Batch Zero update (11 Sep 2026) and market notices; Texas Governor, TCEQ directive (21 Sep 2026); Childress application per press reports of TCEQ records; Texas SB 6 (89th Legislature, 2025), per the House Research Organization and Senate bill analyses; IREN Form 10-K FY2026 (balance sheet, convertible notes, capital commitments); FY26 results and earnings call (27 Aug 2026); IREN 8-Ks, 3 Nov 2025 (Microsoft agreement) and 14 May 2026 (convertible terms); release 8 Sep 2026; consensus FY27 free cash flow per TIKR (secondary). FY28 onward is the model’s build, not guidance; methods on slide 1. Not affiliated with IREN. The author holds no position in IREN.